Superior Plus Corp. (TSX: SPB)

Selling Pipelines by the Truckload

Recommendation	Price target (Base)	Return incl. dividend	Price, Oct 22, 2026
BUY	**C$8.95**	**+36%**	**C$6.71**

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Personal stock pitch | October 31, 2026

Not investment advice. Figures in C$ unless stated; company reports in US$.

Investment Summary

Cheap on signed contracts alone; the 2027-28 data-centre bottleneck is what makes it a BUY

Catalyst Summary

1 Priced like propane is on its last legs

The market prices SPB like it is in a declining market. Even if you don't agree with my data-centre call, the stock is priced like propane is on its last legs (signed contracts alone: C$7.71 vs C$6.71).

2 Certarus: a temporary pipeline

Pipelines are lagging behind the AI hyperscalers' data-centre investment, and the infrastructure takes 4+ years. Certarus is the temporary solution to a long-term problem: a 2-3+ year opportunity, probably longer. Not forever, but real.

3 2028: when the real money comes in

By 2028 capex starts to decline, debt is projected near 3x and buybacks could be reconsidered. The reasons analysts say Hold are short term; they flip. 2028 is when the cash comes in, if everything goes to plan.

Metrics and Fundamentals

Current Price: C$6.71

Target Price: C$8.95

Upside: +33% (+36% incl. dividend)

Probability-weighted: C$8.31 (+24%)

Market data (Oct 22, 2026)	
Enterprise value	C$4,059M
LTM Adjusted EBITDA	US$452M
EV / EBITDA (LTM, IFRS)	6.5x
Dividend yield	2.7%
Leverage (Jun 30, 2026)	3.6x
Scenarios: Bear / Base / Bull	C$2.69 / 8.95 / 15.15
Street: average target / rating	C$8.52-8.84 / 3 Buy, 9 Hold

Sources: My DCF (Base = average of Gordon C$9.15 and 6.5x exit C$8.75; weights 30/50/20); Superior Plus Q2 2026 package; MarketBeat Oct 30 / StockAnalysis Oct 7, 2026.

The Opportunity: Power Arrives Before the Pipes

Data centres that cannot wait for the grid or a pipeline pay a premium for gas by truck, for a few years

Key Indicators

415 to 945 TWh
Data-centre electricity use, 2024 to 2030 (IEA)

4+ years
Grid-connection wait in primary markets (JLL)

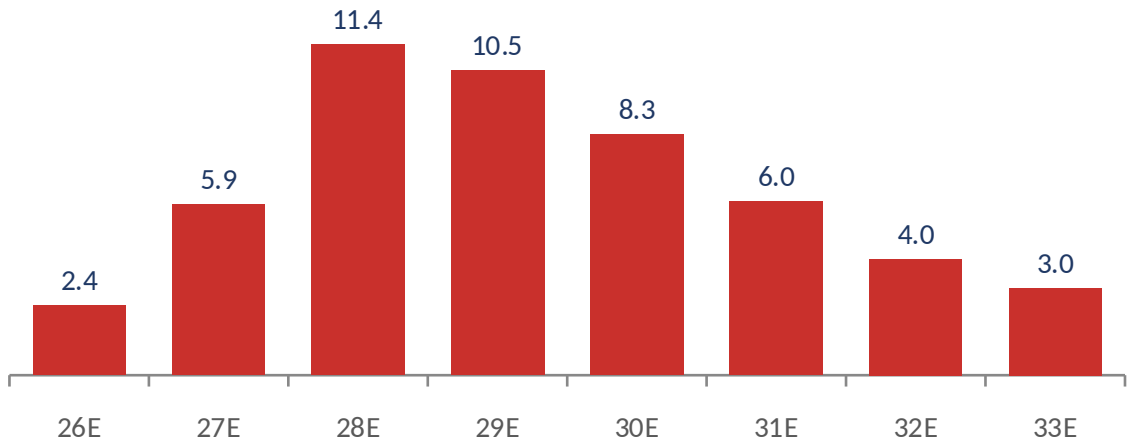
30-50%
Of 2026 large data-centre capacity likely delayed (Network World)

~4x hub price
Delivered cost of trucked gas (East Daley): worth it when a site sits idle

Infrastructure Timeline

2025-26	Contract & build
2027-28	Ramp: 135 MW starts
2029-30	Utah contract ends; 135 MW expires
2031-33	Fewer contracts, smaller jobs; trailers (partial) redeploy

Certarus Data-Centre Volume (M MMBtu)

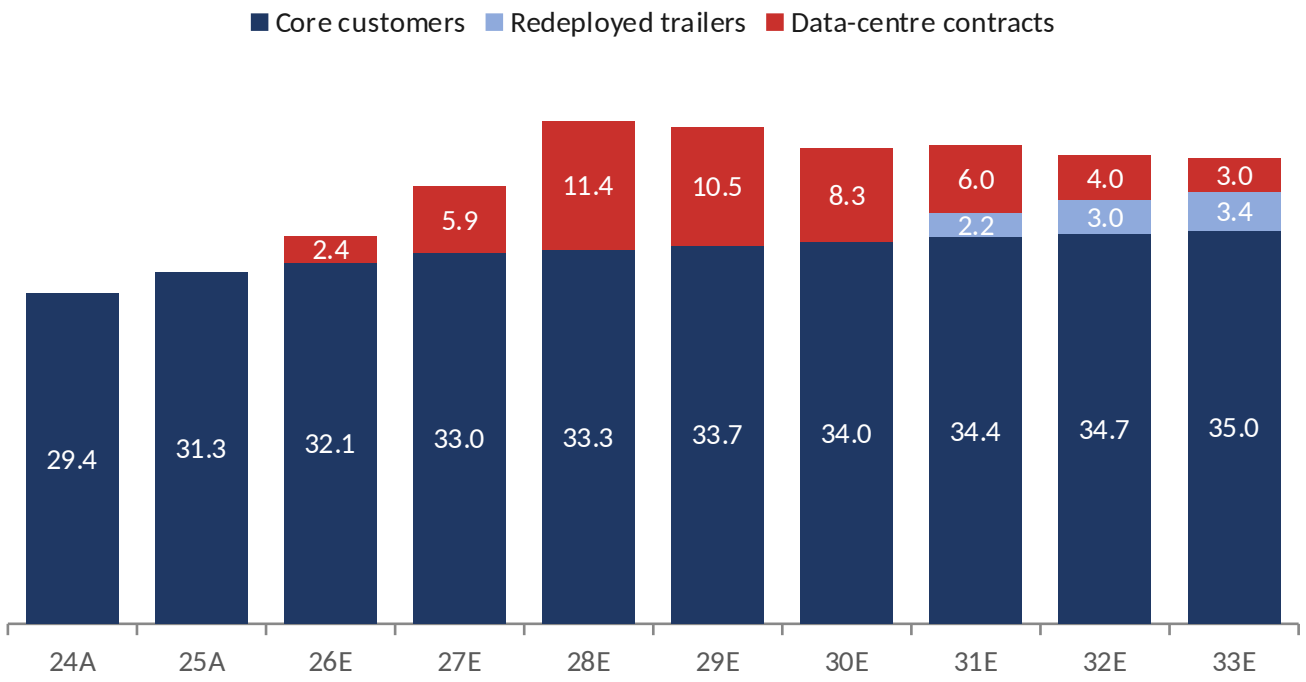


Sources: IEA (2025); JLL 2026; Network World Jul 27, 2026; AP/Transport Topics Oct 9, 2026; my model (Base; 2031-33 = my judgment). 135 MW × 8,760 h × 80% × 9 MMBtu/MWh ≈ 8.5M MMBtu/yr.

Why Certarus: Contracted and Delivering

Volume accelerates in 2027-28 on signed contracts, then fades as pipelines catch up

Certarus Gas Volume, History and Forecast (M MMBtu)



Total	**29.4**	**31.3**	**34.5**	**38.9**	**44.7**	**44.2**	**42.3**	**42.5**	**41.7**	**41.4**
Growth		+7%	+10%	+13%	+15%	−1%	−4%	0%	−2%	−1%

Contracts and Fleet

135 MW hyperscale	~2.5 yrs from mid-2027; >US$300M; ~200 trailers
Utah 60 MW + hub	Delivering since May 2026
Six data-centre deals	>US$350M revenue since Sep 2025
Hexagon order	US$100M of new trailers (Jul 2026)
Average fleet	868 (2025), ~890 (2026), ~915 (2027)

Precedent and Caution

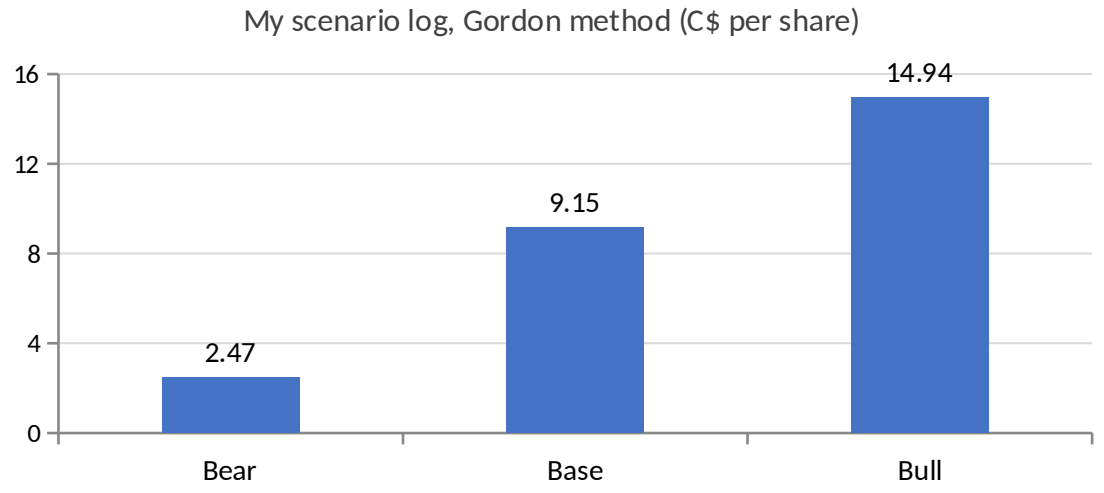
- **Precedent:** early data-centre jobs ran past their original terms; management targets ≥15% returns (Q2 2026 call)
- **Caution:** the 135 MW deal is most of the US$350M, so one customer dominates

Sources: SPB FY2025 MD&A (2024-25 actual); Q1/Q2 2026 calls; Business Wire Apr 20, 2026; Certarus/PGJ May 2026; Hexagon Jul 7, 2026; my model (2031-33 = judgment).

Valuation: Cheap on Cash Flow, Not on Multiples

DCF at today's 6.5x exit multiple: Base C$8.95 vs C$6.71 today; the Street sees ~C$8.50-8.84 but rates it a Hold

From My Model: Value per Share (C$)



Exit-multiple method: C$2.90 / 8.75 / 15.36 (5.8x / 6.5x / 8.0x). Target C$8.95 = average of both methods. Signed contracts only: C$7.71.

How my view changed: I initially planned to make the data-centre contracts the main price driver, but the model showed the stock is undervalued even without them.

Me vs the Street

	Me	Street
2027E EBITDA	US$491M	US$506M (RBC)
Target / rating	C$8.95 / BUY	C$8.52-8.84 avg / 3 Buy, 9 Hold
Why Hold?	Turns in 2028	Capex, leverage, no buybacks (RBC)

Comps (Lease-Adjusted)

Company	EV/EBITDA
Suburban	8.7x
Clean Energy	6.2x
Star Group	3.7x
Peer median	6.2x
SPB	6.9x

Main Drivers (C$/Share)

Change	Range
WACC ±1pt	6.37-12.86
Capex ±1pt	6.96-11.35
Delivers 25-100%	7.76-9.86
Growth 0-1%	8.17-10.30
Thesis off / on	7.82-9.15

Sources: My DCF; SPH/SGU/CLNE filings; RBC via MT Newswires Aug 10, 2026; MarketBeat Oct 30 / StockAnalysis Oct 7, 2026. Price implies 5.5x 2033E EBITDA or −0.9% growth forever.

Risks: What Could Prove Me Wrong

Each assumption has a number to watch and a level at which I would reconsider the BUY

Thesis-Invalidation Matrix					
Assumption	**What could go wrong**	**Indicator to watch**	**On track**	**Reconsider if**	**Value if it breaks**
135 MW starts late 2027	Delayed commencement	Start date on Q3/Q4 calls	Mid/late 2027	Slips into 2028+	Part of Bear (C$2.69)
Unit margins hold	Competition, trucking costs	CNG EBITDA per MMBtu	~US$3.7-3.8	<US$3.4 for 2 quarters	−C$0.60 (price war)
Capex normalises	More capex for less growth	Capex % of revenue	Falls after 2027	>7.8% in 2028	C$6.96
Wins and extensions	Rivals win the sites	Awards on calls	1-3M MMBtu a year	None by 2028	C$7.82 (conservative)
Trailers find new work	Fleet sits idle after 2030	Volume per trailer	Stable or rising	Falling again	−C$0.33 (no redeployment)
Cost of capital ~7%	Leverage, preferred step-up	Refinancing yields	~7%	>8%	C$6.37

My Rule	One red flag is worth watching; two at once (for example a 2028 start AND margins below US$3.4) means the market is probably right and I re-rate the stock. The Base value falls below C$6.71 if the discount rate passes ~7.9%, or capex stays near 7.8% of revenue with a higher rate.

Sources: Kill_Test, Sensitivity and Thesis_Split tabs of my DCF (Base Gordon value C$9.15 unless stated; each row changes one assumption).